OCAD - ONE COMPANY A DAY

SERIES: TELECOMMUNICATIONS AND MEDIA

Verizon Communications Inc.

VZ | NYSE

USD 44.15 per share

Closing price, Monday 19 October 2026, latest completed trading day



VZ daily closing price, 20 July 2026 to 19 October 2026, USD per share. Source: Alpha Vantage daily price series.

REPORT DATE
20 October 2026

ANALYST
Arthur Faugeron

SERIES
Telecommunications and Media

EXCHANGE
NYSE

Executive Summary

Verizon is the largest US wireless carrier by postpaid phone connections and a fast-growing fiber and fixed wireless broadband operator, generating about USD 138bn of revenue and USD 37bn of operating cash flow with almost no growth. The shares trade at 8.8 times 2026 guided adjusted earnings and carry a 6.4% dividend yield, after a 10.1% one-day fall on 9 October 2026 that followed SpaceX's purchase of nationwide low-band spectrum.

Business

Verizon sells mobile service, home and business broadband, and enterprise connectivity to about 116 million Consumer and 31 million Business wireless retail connections in the United States. Consumer is 77% of fiscal 2025 revenue (USD 106.8bn) and Business is 21% (USD 29.1bn); revenue is predominantly recurring subscription service plus a lower-margin device resale stream.

Financial Condition

Fiscal 2025 revenue was USD 138.2bn (up 2.5%), operating income USD 29.3bn (21.2% margin), net income attributable to Verizon USD 17.2bn and operating cash flow USD 37.1bn. Second-quarter 2026 revenue fell 0.7% but adjusted EBITDA rose 7.2% to USD 13.7bn as the cost programme took effect, and net debt is about USD 163.5bn (3.2 times adjusted EBITDA) after the Frontier acquisition.

Market Position

Direct competitors are AT&T and T-Mobile US, with cable operators Comcast and Charter taking mobile and broadband share through Verizon's own network on a wholesale basis. The advantage is network scale and a 94 million postpaid phone base with churn of 0.92%; the weakness is the lowest growth and highest leverage of the three majors.

Valuation

At USD 44.15 the market capitalization is USD 183.4bn and enterprise value is USD 346.9bn excluding lease liabilities (USD 374.7bn including them, per the data provider). Trailing P/E is 11.3 times, forward P/E 8.8 times on 2026 guidance (8.7 times on the data provider's consensus), EV/EBITDA 6.7 times and P/FCF 8.5 times, against a dividend yield of 6.4%.

Investment Framework

WHAT IS ATTRACTIVE	Free cash flow of about USD 21.5bn on a USD 183bn market capitalization (11.7% yield) covers the USD 11.5bn dividend 1.9 times and funds a USD 4.5bn buyback in 2026.
WHAT IS CONCERNING	Revenue has grown at 0.9% a year since 2021, net debt exceeds three times EBITDA, and low-band spectrum in SpaceX's hands creates a new competitive variable with no operating history.
WHAT MUST GO RIGHT	Cost savings must hold without raising churn, Frontier fiber must convert into broadband share, and wireless service revenue must stay at least flat against price competition.
WHAT COULD BREAK THE THESIS	A price war triggered by satellite or cable entrants, a rise in postpaid churn above 1.0%, or a dividend that stops growing because free cash flow falls below USD 18bn.
PRICED IN	Our cash flow model implies a discount rate of about 9.1% at the current price, against a 7.5% central estimate, which is consistent with the market assuming flat to declining long-run free cash flow.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	Good. Recurring service revenue of about 80% of the total, large scale and spectrum, but low organic growth.
Financial quality	Good. Cash conversion is above 100% of net income; reported earnings are depressed by amortization and special items.
Competitive position	Strong in coverage and enterprise, mixed in price. Moat assessed as Moderate.
Growth profile	Weak. Revenue CAGR of 0.9% (2021 to 2025); broadband connections grow about 35% a year from a smaller base.
Balance-sheet risk	Elevated. Net debt 3.2 times adjusted EBITDA, current ratio 0.60, interest coverage 4.4 times.
Valuation	Low on earnings and cash flow multiples; sensitive to discount rate assumptions.
Market and technical profile	Low beta (0.25) but fragile trend; price below its 50-day average, RSI near 40.

Source: analyst assessment based on the data in sections B and C.

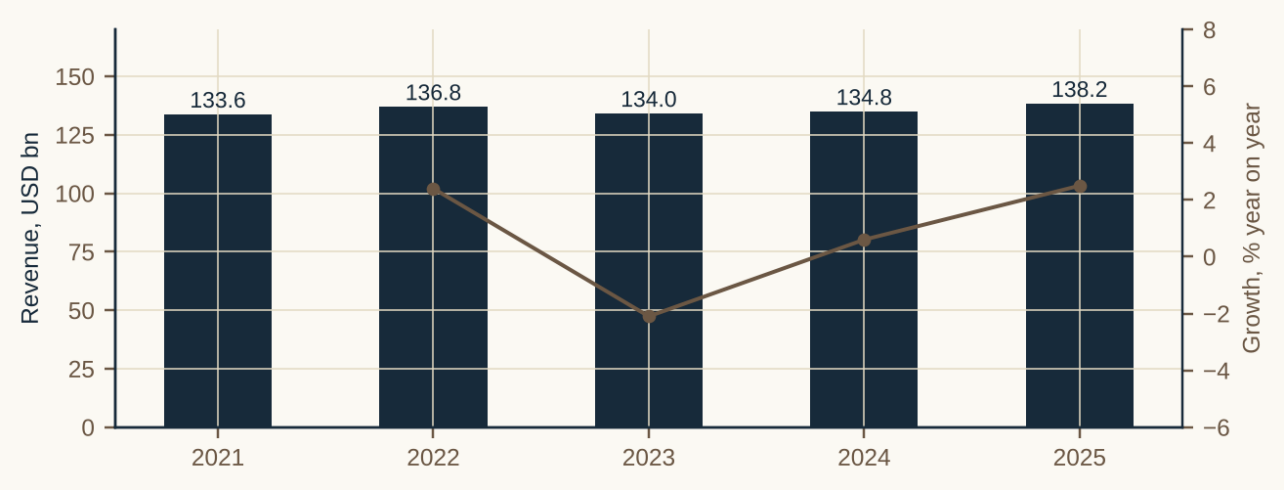
A. About the Business

A1. Business Environment

Verizon operates in US telecommunications connectivity: the sale of mobile, fixed broadband and managed network services over networks built on licensed radio spectrum, fiber, copper and coaxial cable. The value chain runs from spectrum and tower or fiber assets, through network equipment and software suppliers, to the carrier that bills the end customer; value is captured mostly by whoever owns scarce spectrum and the customer relationship, while equipment vendors and tower companies take a smaller share. A reliable estimate of industry revenue for the period was not retrieved, so the structure is described through the operators themselves: three national mobile networks (Verizon, AT&T and T-Mobile US) serve most postpaid phone customers, and cable companies resell mobile service on a wholesale basis.

Economics are those of a mature, capital-intensive utility-like business. Verizon's gross property, plant and equipment is about USD 338bn, of which 78.9% is network equipment, and annual capital expenditure of USD 16.0bn to 16.5bn is guided for 2026, about 11.6% of revenue. Cost pools are network operations, device purchases (resold to customers), selling and marketing, and the labour of roughly 89,900 employees, 27% of whom are unionized. Demand is only weakly cyclical, because connectivity is a household necessity, but pricing power is limited by competition and by the fixed network cost base.

Verizon revenue and growth, fiscal 2021 to 2025



Source: Alpha Vantage income statement data (company reported, US GAAP). Units: USD bn; growth in percent year on year.

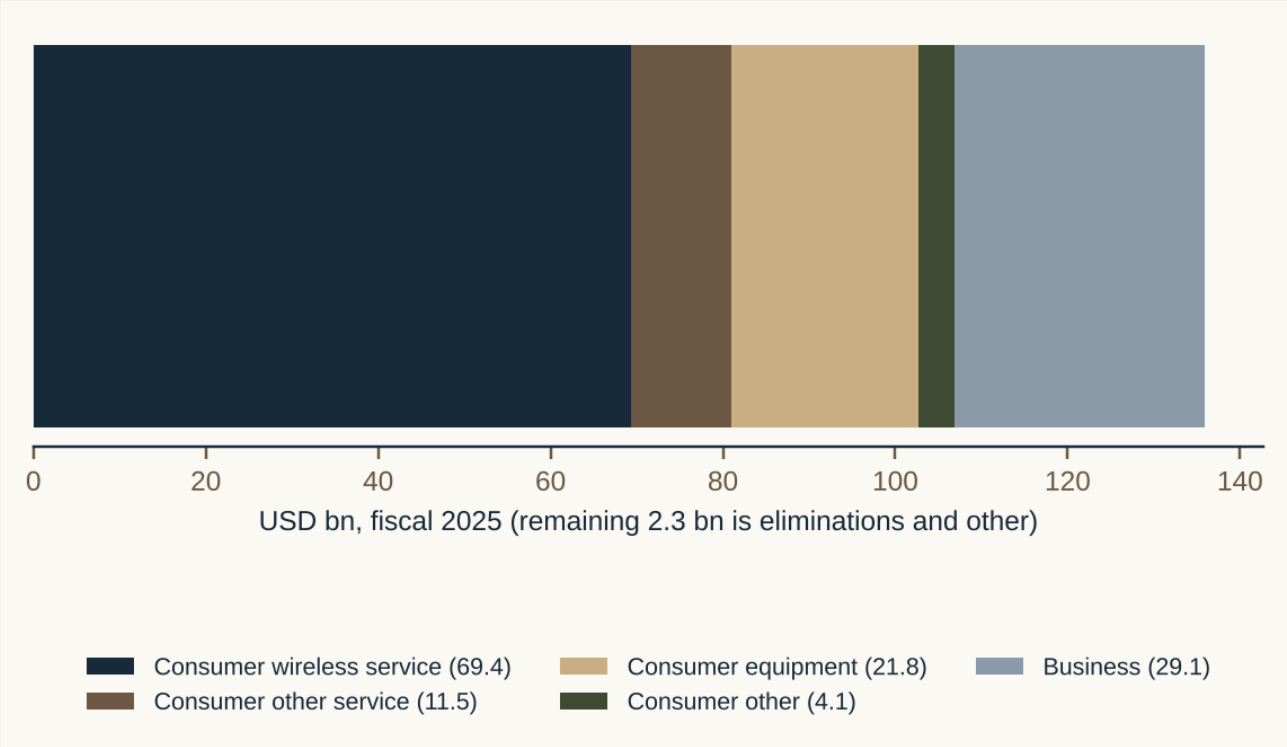
INDUSTRY STAGE: MATURE AND STRUCTURALLY TRANSFORMING

> Mobile penetration is near saturation, so growth comes from share gains, price and mix, and from converged bundles of mobile and home broadband (more than 18% of Verizon consumer postpaid customers already take one). The industry is also being transformed by fixed wireless access, fiber overbuild, and, since 8 October 2026, by the prospect of satellite direct-to-device service backed by nationwide low-band spectrum. Maturity explains the flat revenue; transformation explains why the market has moved the multiple down.

A2. What Does the Company Do?

Verizon reports two segments. Verizon Consumer sells mobile service, devices and accessories, and Fios, fixed wireless and DSL home internet to households. Verizon Business sells mobile and broadband to small and medium firms, large enterprise and public sector connectivity, and wholesale capacity to other carriers.

Fiscal 2025 revenue by stream



Source: Verizon Form 10-K for fiscal 2025. Units: USD bn. Consumer streams as reported; Business total as reported.

Consumer wireless service revenue was USD 69.4bn in 2025 (up 2.1% from USD 68.0bn), equipment USD 21.8bn (up 11.1%) and other consumer revenue USD 4.1bn. Business revenue of USD 29.1bn splits into Enterprise and Public Sector (USD 13.5bn), Business Markets and Other (USD 13.6bn) and Wholesale (USD 2.0bn). In the first half of 2026 Consumer segment EBITDA was USD 23.3bn on revenue of USD 52.7bn (44.1% margin) and Business EBITDA was USD 4.1bn on revenue of USD 14.3bn (28.6% margin), so Consumer produces about 85% of segment EBITDA.

Customers pay monthly and are mostly on postpaid plans (83% of Consumer retail connections). Devices are sold at or below cost and financed through instalment plans, which supports retention but depresses equipment margin and lifts receivables (USD 26.5bn at 30 June 2026). Broadband adds a second recurring line: 17.1 million broadband connections at 30 June 2026 (10.9 million fiber, 6.2 million fixed wireless), up from 12.7 million a year earlier.

How one dollar of revenue is used

Using fiscal 2025: of each dollar of revenue, 54 cents is cost of services and equipment (USD 75.1bn), 24 cents is selling, general and administrative expense (USD 33.8bn), leaving 21 cents of operating income (USD 29.3bn); interest takes roughly 5 cents and taxes 4 cents, leaving 12 cents of net income. Capital expenditure absorbs about 13 cents and dividends 8 cents.

1. CUSTOMER
116m Consumer and 31m Business wireless connections; 17.1m broadband connections

2. PRODUCT AND SERVICE
Mobile plans, devices, Fios fiber, fixed wireless, enterprise networks

3. REVENUE
USD 138.2bn in 2025; Consumer 77%, Business 21%

4. COSTS
54 cents cost of services and equipment; 24 cents SG&A per dollar

5. OPERATING PROFIT
USD 29.3bn; 21.2% margin in 2025

6. CASH FLOW
Operating cash flow USD 37.1bn; free cash flow about USD 20bn

7. CAPITAL USE
Dividend USD 11.5bn; buyback USD 4.5bn guided for 2026; debt reduction

The economically decisive parts are Consumer wireless service (high margin, 50% of revenue) and the capital intensity of the network, because the combination determines how much free cash flow remains after the USD 16bn to 17bn annual reinvestment.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Frontier Communications	Acquired; closed 20 January 2026 for about USD 20bn including assumed debt	Adds fiber to 31 states and the District of Columbia and lifts combined fiber passings to about 30 million; also adds goodwill (USD 30.7bn at June 2026) and debt
Starry	Fixed wireless provider for multi-dwelling units; closed 30 January 2026	Extends broadband into apartment buildings in five markets at low capital cost
Array Digital Infrastructure (formerly US Cellular)	Pending purchase of selected spectrum licenses	Adds spectrum capacity; approval status not retrieved
Cable operators (Comcast, Charter)	Wholesale mobile customers using the Verizon network	Provides wholesale revenue but also lets competitors undercut retail price in mobile
AT&T and T-Mobile US	Joint venture partners in a satellite-focused venture formed in May 2026	Shared response to satellite entrants; also direct rivals for subscribers
Network and device suppliers	Equipment, fiber and handset vendors; handsets resold to customers	Device cost flows through equipment revenue (USD 21.8bn Consumer); vendor concentration not retrieved
Workforce	About 89,900 employees, 27% represented by CWA or IBEW	Largest cost pool; 13,000 positions removed in the fourth quarter of 2025
Lenders and bondholders	Total debt USD 165.2bn, USD 12.0bn unused revolver	Interest of USD 6.7bn in 2025 absorbs 23% of operating income

Source: Verizon Form 10-K fiscal 2025; Verizon 2Q26 earnings release and financial statements; convergedigest.com, 21 January 2026 (Frontier); Business Standard, 9 October 2026 (satellite venture). Major shareholders not retrieved.

A4. Competition

COMPETITIVE COMPARISON, TRAILING TWELVE MONTHS, USD

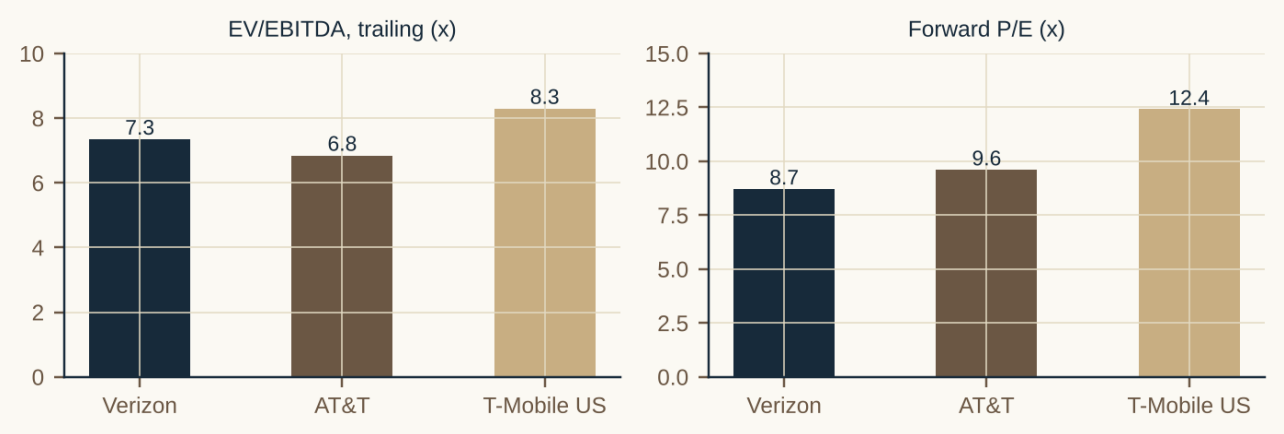
Company	Revenue, bn	Op. margin	EV/EBITDA	Net debt, bn	Net debt / EBITDA
Verizon	138.9	23.1%	7.3x	191.3	3.7x
AT&T	127.2	21.8%	6.8x	148.2	3.3x
T-Mobile US	92.2	22.1%	8.3x	117.6	3.4x

Source: StockAnalysis.com company statistics pages, prices as of 19 October 2026 close, financials trailing twelve months from S&P Global Market Intelligence. Net debt includes lease liabilities on the provider's basis, so it exceeds the net debt stated elsewhere in this report. Operating margin is the provider's EBIT divided by revenue.

AT&T is the closest direct competitor: it sells mobile and fiber broadband nationally and added 432,000 postpaid phones in the second quarter of 2026 against Verizon's 184,000, taking its base to 74.9 million postpaid phones. T-Mobile US sells to the same customers with a more growth-oriented, mid-band spectrum network and reported 34.7 million postpaid accounts; it carries the highest multiple of the three, consistent with a stronger growth profile. The three were chosen because they compete for the same customers, spectrum, handset volume and enterprise contracts, and their trailing multiples are directly comparable.

Indirect competitors are Comcast and Charter, which sell mobile bundled with broadband using wholesale access, and emerging competitors are satellite operators, led by SpaceX's Starlink Mobile. SpaceX agreed on 8 October 2026 to buy Grain Management's nationwide 800 MHz portfolio (terms undisclosed, FCC approval required) to combine with its 2 GHz holdings. Verizon's stated view is that spectrum alone is not enough without a network; analysts cited by the press see a possible Starlink broadband and mobile bundle. Substitutes include wi-fi calling and over-the-top messaging, which reduce voice and messaging value but not data demand.

Trailing EV/EBITDA and forward P/E, Verizon against AT&T and T-Mobile US



Source: StockAnalysis.com, 19 and 20 October 2026. Units: multiples (x). EV includes lease liabilities on the provider's basis.

A5. Competitive Differences

Verizon's advantages are structural: licensed spectrum carried at about USD 170bn, a 94.1 million postpaid phone base (up 891,000 over the year to June 2026), postpaid churn of 0.92% (0.97% a year earlier), and a large enterprise and public sector franchise producing USD 13.5bn of revenue. Scale spreads a fixed network cost over 147 million wireless connections, and the convergence of fiber and wireless raises switching costs because bundled customers churn less. Brand and coverage reputation are temporary rather than structural advantages, as the net-add shortfall against AT&T shows.

The disadvantages are growth and balance sheet. Wireless service revenue is guided flat for 2026, only 184,000 postpaid phones were added in the second quarter, and the reduction of more than 13,000 positions in late 2025 creates a service-quality risk in a business that sells on reliability. Debt of USD 165.2bn carries interest cost of about USD 6.7bn a year. Customer concentration is low, but supplier dependence on a few network vendors and handset makers is not quantified in the sources retrieved.

MOAT ASSESSMENT: MODERATE

> Spectrum scarcity and network scale form a durable barrier, but the moat is not widening: market share is stable rather than rising, pricing power is limited by two equally capable rivals, and the emergence of satellite direct-to-device service and cable wholesale access erodes exclusivity at the margin. A Moderate rating reflects evidence of stable returns (ROIC about 8% to 9%, close to the cost of capital) rather than excess returns.

A6. Industry Trend

Historically the industry has grown slowly: Verizon's revenue was USD 133.6bn in 2021 and USD 138.2bn in 2025. Current growth is concentrated in broadband (broadband connections up 34.5% in twelve months to June 2026, partly through the Frontier acquisition) and in converged bundles, while mobile equipment revenue is declining (down nearly 20% in the second quarter of 2026). Industry capital spending is shifting from mobile coverage to fiber and fixed wireless.

Structural trends are fiber overbuild, convergence, enterprise demand for private networks and satellite integration. Temporary conditions include the equipment replacement cycle, promotional intensity and interest rates; the 10-year US Treasury yield was 5.09% on 16 October 2026, which raises the cost of the sector's heavy debt. The trend could reverse if satellite or cable entrants force price cuts, if the regulator opens more spectrum to challengers, or conversely if consolidation or fiber economics lift industry pricing. The industry is best classified as Mature and Consolidating, with a Disrupted risk.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Daniel Schulman	Chief Executive Officer since October 2025; director since 2018	President and CEO of PayPal (2015 to 2023), founding CEO of Virgin Mobile USA (2001 to 2009), former CEO of Priceline Group; age 68
Anthony Skiadas	EVP and Chief Financial Officer	Previously Senior Vice President and Controller; interim CFO from May 2023; responsible for balance sheet and capital return plan
Kyle Malady	EVP and Group CEO, Verizon Business	Runs the Business segment (USD 29.1bn of revenue)
Vandana Venkatesh	EVP and Chief Legal Officer	Legal and regulatory
Sowmyanarayan Sampath	Former Group CEO, Verizon Consumer	Stepped down 4 February 2026; separated 27 March 2026; successor not retrieved
Hans Vestberg	Former Chairman and CEO	Stepped down 4 October 2025; Special Advisor through 4 October 2026

Source: Verizon 2026 proxy statement (Schedule 14A, filed 6 April 2026); Verizon Form 10-K fiscal 2025; CFO Dive, 3 March 2023.

Management has changed almost completely in twelve months, so the track record is that of a new team. Mr. Schulman's 2025 reported compensation was USD 34.3m, of which USD 32.8m was stock awards, which ties pay to the share price; ownership of directors and officers as a group was not retrieved. The team cut more than 13,000 positions in the fourth quarter of 2025 (about 20% of management staff according to a company spokesperson), closed the Frontier and Starry acquisitions within the first month of 2026, authorized a USD 25bn buyback on 30 January 2026 and set an expected capital return of about USD 55bn through 2028. No shares were repurchased in 2024 or 2025, so buybacks are a new element.

Capital allocation is coherent but leveraged: dividends grow slowly (the 20th consecutive annual increase brought the quarterly payment to 70.75 cents, annualized USD 2.83), the buyback is funded from free cash flow, and the Frontier purchase was financed with debt, lifting total debt from USD 158.2bn to USD 165.2bn within two quarters. Guidance credibility cannot yet be judged on a long history; the 2026 guidance was raised at the second quarter. Management behavior is aligned with shareholders on cash return, while the main governance test is whether cost cuts degrade customer experience.

B. Evaluation

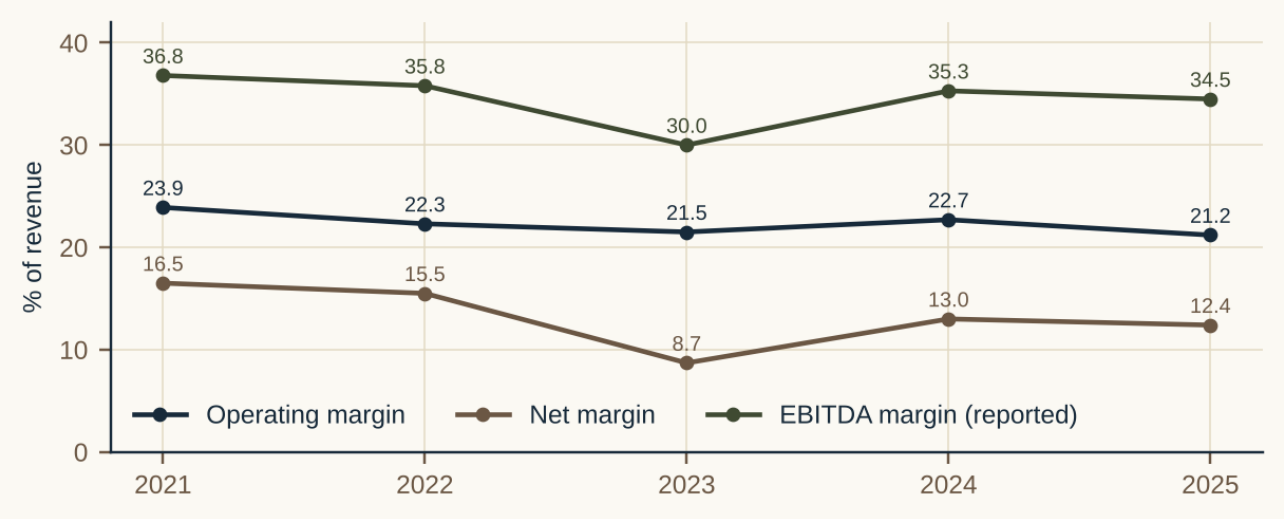
B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, FISCAL YEARS ENDING 31 DECEMBER

Metric	2021	2022	2023	2024	2025
Gross margin	45.7%	44.3%	45.9%	46.6%	45.6%
Operating margin	23.9%	22.3%	21.5%	22.7%	21.2%
EBITDA margin (reported)	36.8%	35.8%	30.0%	35.3%	34.5%
Net margin (attributable)	16.5%	15.5%	8.7%	13.0%	12.4%
Revenue growth	n/a	2.4%	-2.1%	0.6%	2.5%
Effective tax rate	23.1%	23.1%	28.8%	21.9%	22.3%

Source: Alpha Vantage annual income statements (company reported, US GAAP); ratios calculated. Gross margin is revenue less cost of services and equipment. 2023 includes a large goodwill impairment. 2021 growth not available in the series retrieved.

Operating, EBITDA and net margins, fiscal 2021 to 2025



Source: Alpha Vantage annual income statements; calculated. Units: percent of revenue.

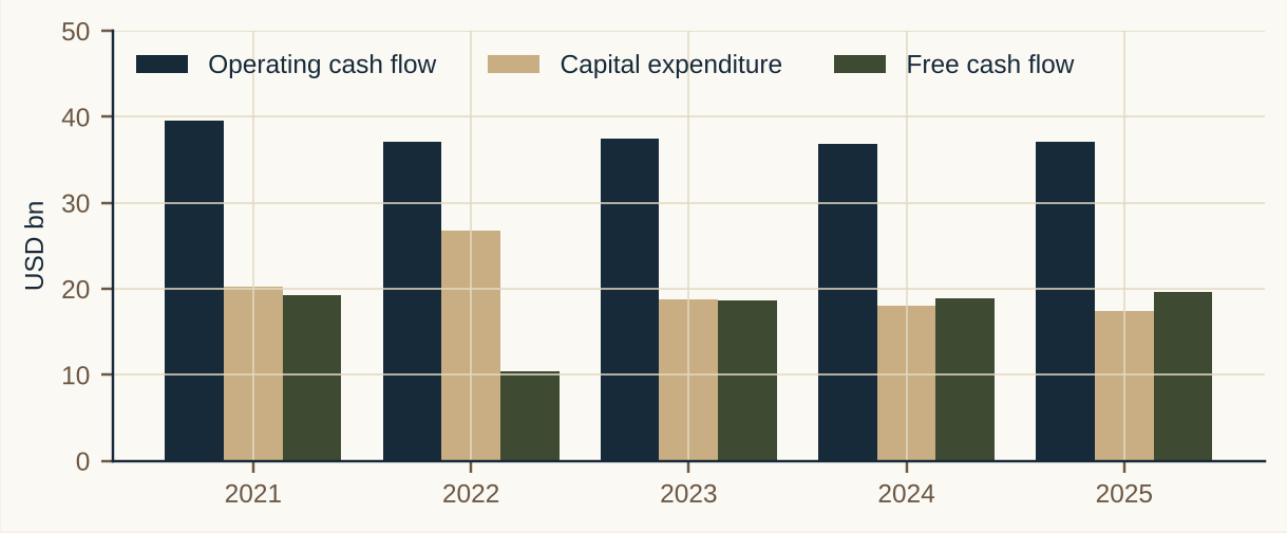
Growth rates since 2021 are low: revenue CAGR 0.9%, EBITDA CAGR -0.7%, net income CAGR -6.1% (2021 to 2025, including the 2023 impairment effect), and free cash flow on a cash flow statement basis CAGR 0.5%. EPS CAGR was not computed because per-year diluted share counts were not retrieved; calculated net income per year-end share was USD 4.06 in 2025 against USD 4.15 in 2024.

RETURNS, EFFICIENCY, LEVERAGE AND CASH FLOW, FISCAL 2025 UNLESS STATED

Metric	Value	Meaning
ROE (year-end equity)	16.4%	Net income over USD 104.5bn equity; inflated by debt funding
ROIC (NOPAT over equity plus net debt)	9.3%	Close to a 7% to 8% cost of capital; thin spread
Asset turnover (average assets)	0.35x	Typical of heavy network assets
Receivables turnover	5.1x	Device instalments extend collection
Total debt / EBITDA (adjusted)	3.2x	Debt USD 158.2bn over USD 50.0bn
Net debt / EBITDA, 30 June 2026	3.2x	USD 163.5bn over about USD 51.5bn trailing adjusted EBITDA
Net unsecured debt / adj. EBITDA	2.5x	Company-reported measure at 30 June 2026
Interest coverage (EBIT / interest)	4.4x	USD 29.4bn over USD 6.7bn
Operating cash flow / net income	2.1x	Non-cash amortization and depreciation
Free cash flow / net income	1.1x	Earnings are covered by cash
Capital expenditure / revenue	12.6%	Cash flow statement basis
Free cash flow margin	14.2%	USD 19.7bn over USD 138.2bn

Source: Alpha Vantage statements and Verizon 2Q26 release; calculated. Net income for cash conversion is consolidated (USD 17.6bn). NOPAT uses the 22.3% effective tax rate. Capital expenditure per the cash flow statement (USD 17.5bn) is higher than the company's 10-K narrative figure of USD 17.0bn; the company definition yields a free cash flow of about USD 20.1bn.

Operating cash flow, capital expenditure and free cash flow, fiscal 2021 to 2025



Source: Alpha Vantage annual cash flow statements; free cash flow calculated as operating cash flow less capital expenditure. Units: USD bn. 2022 was the peak of the capital expenditure cycle.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Price competition and satellite entry	Medium	High	SpaceX holds new low-band spectrum; cable resellers and AT&T already win more net adds. Lower prices would hit flat wireless service revenue
2	Leverage and interest rates	Medium	High	Debt of USD 165.2bn, USD 21.8bn due within a year, 10-year Treasury at 5.09%; refinancing at higher coupons erodes free cash flow
3	Customer experience after cost cuts	Medium	High	13,000 positions removed; churn above 1.0% would raise acquisition spending
4	Fiber return on capital	Medium	Medium	Frontier cost about USD 20bn; passings must convert to subscribers, and goodwill rose to USD 30.7bn
5	Regulation and spectrum policy	Medium	Medium	Spectrum auctions, FCC rulings and acquisition approvals shape competitors' access
6	Dividend and buyback sustainability	Low	High	Dividend of USD 11.5bn plus USD 4.5bn buyback absorbs about 80% of free cash flow
7	Macro and consumer credit	Low	Medium	Receivables of USD 26.5bn from device instalments are exposed to unemployment
8	Technology and cybersecurity	Low	Medium	Network outages and cyber incidents carry reputational and compensation cost; not quantified in the sources retrieved
9	Valuation and sentiment	Medium	Medium	Multiple already low; further compression requires earnings disappointment

Source: analyst assessment using Verizon Form 10-K fiscal 2025, 2Q26 release and market data to 19 October 2026.

The three risks most capable of permanently impairing shareholder value are structural price competition from satellite and cable entrants (risk 1), the combination of leverage and rates that could force dividend growth to stop (risks 2 and 6), and loss of customers through poorer service after the headcount reduction (risk 3).

B3. Valuation

At the 19 October 2026 close of USD 44.15 and 4.155 billion shares, the market capitalization is USD 183.4bn. Net debt at 30 June 2026 was USD 163.5bn (total debt USD 165.2bn less cash USD 1.8bn), giving an enterprise value of USD 346.9bn before lease liabilities and noncontrolling interests, which were not separately retrieved. On trailing figures the shares trade at 11.3 times earnings (net income attributable of USD 16.2bn), 6.7 times adjusted EBITDA, 9.1 times free cash flow on a cash flow statement basis (8.5 times on the data provider's company-defined figure of USD 21.5bn), 1.3 times sales and a dividend yield of 6.4%. On 2026 guided adjusted EPS of USD 4.99 to 5.04 the forward multiple is 8.8 to 8.9 times.

VERIZON YEAR-END VALUATION HISTORY AND CURRENT

Measure	2021	2022	2023	2024	2025	Oct 2026
Share price, USD	51.96	39.40	37.70	39.92	40.48	44.15
Trailing P/E	9.9x	7.8x	13.6x	9.6x	9.9x	11.3x
Dividend per share, USD	2.52	2.57	2.62	2.67	2.72	2.83
Dividend yield	4.9%	6.5%	7.0%	6.7%	6.7%	6.4%

Source: Alpha Vantage weekly adjusted price series (last weekly close of each year); dividends are those paid in the calendar year; trailing P/E is calculated using attributable net income and an assumed constant 4.2bn shares for 2021 to 2025, so it is approximate. Current dividend is the annualized declared rate of USD 0.7075 per quarter. 2023 earnings include an impairment.

Against its own five-year range the shares sit in the middle of a 7.8 to 13.6 times trailing earnings band and at the lower end of the 4.9% to 7.0% dividend yield band, so valuation is neither at a historical trough nor an outlier. Against peers (see section A4), Verizon's EV/EBITDA of 7.3 times is above AT&T (6.8 times) and below T-Mobile US (8.3 times), and its forward P/E

of 8.7 times is below AT&T (9.6 times) and T-Mobile US (12.4 times); the discount to T-Mobile reflects slower growth, while versus AT&T the multiple is similar but the dividend yield is higher (6.4% against 4.8%).

The cash flow model in section C5 is more informative about expectations. With base case unlevered free cash flow of USD 27bn to 30bn a year and a terminal growth rate of 1.0%, the current price equates to a discount rate of about 9.1%, well above our 7.5% central estimate. In other words, the price requires either no growth with a higher risk premium or a decline in free cash flow. We classify the embedded expectations as Conservative on revenue growth and margins (a stable 36% to 38% EBITDA margin without share gain is enough) but not obviously generous on risk: the market is discounting the possibility that satellite and cable competition permanently lowers cash flow.

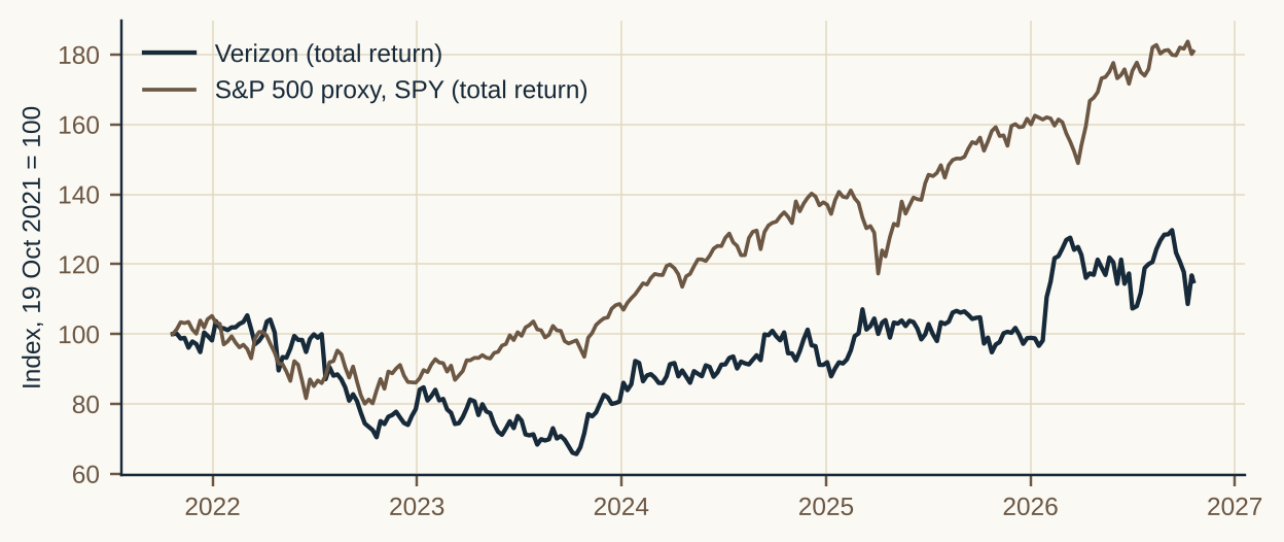
B4. Capital Market and Stock Analysis

TOTAL RETURN, PERIODS TO 19 OCTOBER 2026

Period	Verizon, price	Verizon, total return	SPY, total return
1 day	-1.4%	-1.4%	0.4%
1 week (5 trading days)	3.2%	3.2%	-1.5%
1 month	-8.2%	-6.6%	0.6%
3 months	1.3%	3.0%	3.4%
6 months	-5.2%	-1.9%	8.5%
Year to date	9.1%	16.5%	11.9%
1 year	8.9%	16.3%	16.6%
3 years	39.8%	70.3%	88.7%
5 years	-15.5%	16.6%	83.8%

Source: Alpha Vantage daily and weekly adjusted price series for VZ and the SPDR S&P 500 ETF (SPY, used as the benchmark proxy); returns calculated. Periods use the nearest weekly observation; year to date is measured from the last weekly close of 2025 (26 December).

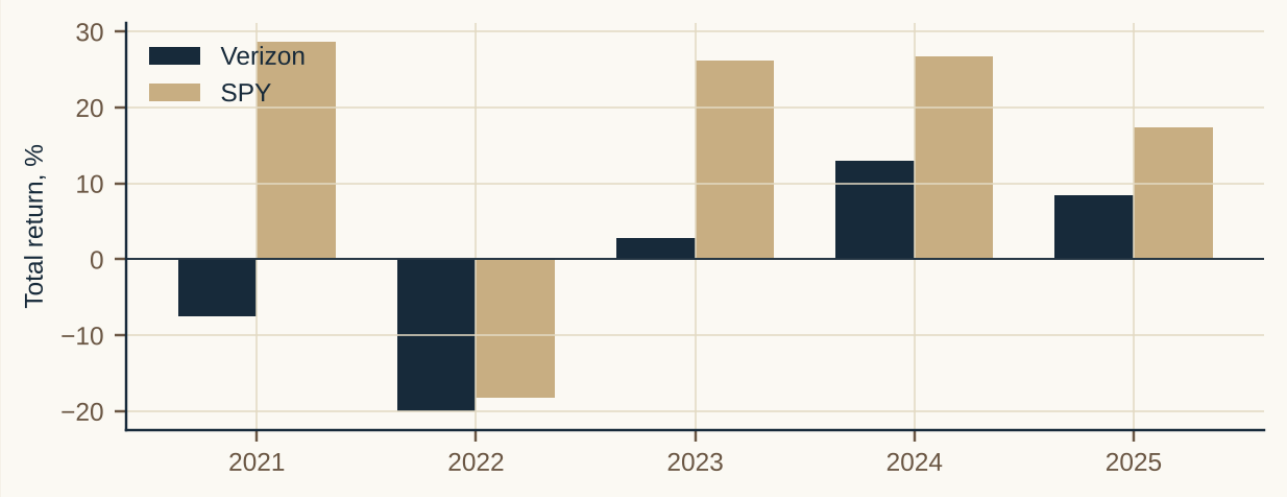
Total return, Verizon against the S&P 500 proxy, five years



Source: Alpha Vantage weekly adjusted close (dividends reinvested). Units: index, 19 October 2021 = 100.

Verizon has lagged the market materially: a 16.6% five-year total return against 83.8% for the index. Calendar-year returns show the pattern: negative in 2021 (-7.5%) and 2022 (-20.0%), recovery from 2023, with 2024 (13.0%) and 2025 (8.4%) still below the index in each year.

Calendar-year total return, Verizon against SPY



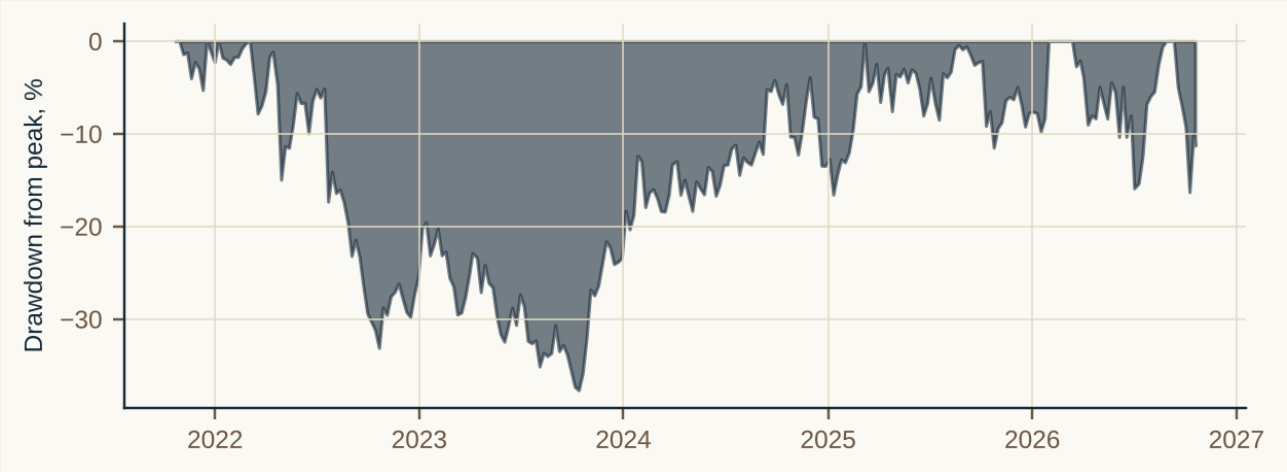
Source: Alpha Vantage weekly adjusted close; calculated from last weekly close of each year. Units: percent.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, 1 year	27.2%	Weekly total returns
Annualized volatility, 3 years	23.5%	Weekly total returns
Annualized volatility, 5 years	23.7%	Weekly total returns
Downside volatility, 1 year	17.1%	Negative weekly returns only
Beta versus SPY, 5 years	0.25	Weekly returns; 3-year beta 0.13
Correlation with SPY, 5 years	0.17	Weekly returns
Maximum drawdown, 1 year	-16.3%	11 September to 9 October 2026, weekly closes
Maximum drawdown, 5 years	-37.7%	March 2022 to October 2023, weekly closes
Maximum drawdown since 1999	-53.8%	December 1999 to September 2002
Current drawdown from 5-year peak	-11.3%	Total return basis
52-week range (weekly highs and lows)	USD 38.68 to 51.68	Price is 14.6% below the high

Source: Alpha Vantage price series; calculated. Drawdowns are measured on weekly adjusted closes and understate intraweek lows.

Drawdown from previous peak, Verizon, five years

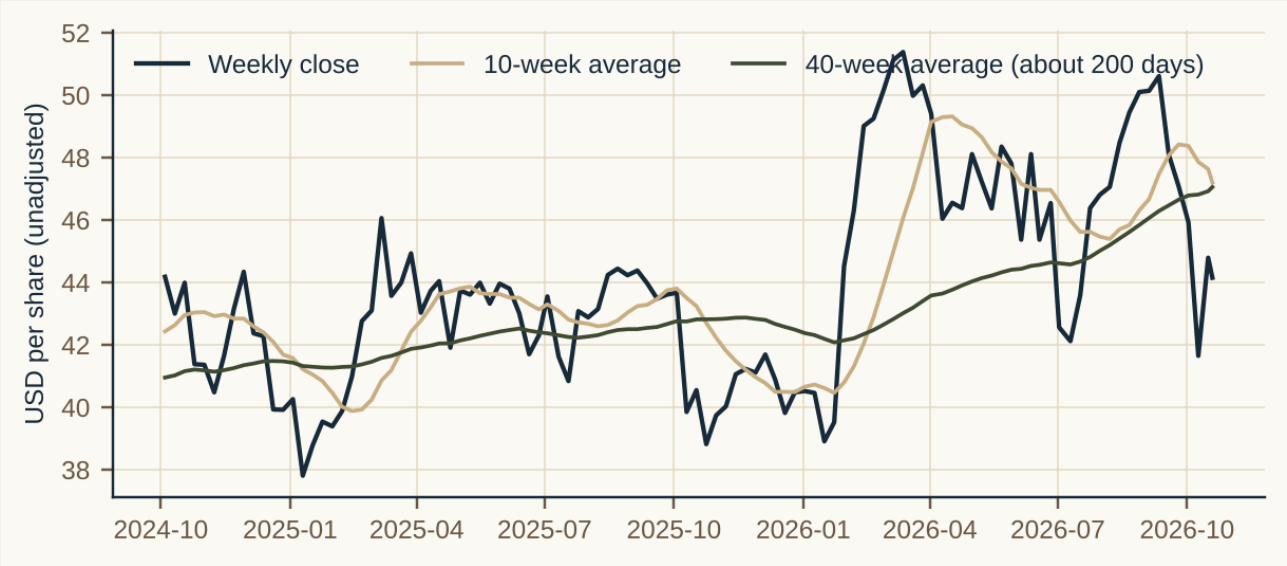


Source: Alpha Vantage weekly adjusted close. Units: percent below prior peak.

The market behaviour is that of a defensive stock whose price is unusually exposed to sector news: beta against the index is low (0.25) and correlation is 0.17, yet the shares fell 10.1% on 9 October 2026, closing at USD 41.65 on volume of about 88.6 million (the data provider shows 95.2 million), the worst day since 2002 according to press reporting, on the same day on which

AT&T fell 10.9% and T-Mobile US 13.3%. The shares have recovered to USD 44.15, about 6% above the low close. From the 15 September close of USD 51.45 to the 9 October close of USD 41.65 the price fell 19.0%.

Verizon weekly close with 10-week and 40-week moving averages, two years



Source: Alpha Vantage weekly series. Units: USD per share (unadjusted for dividends).

Technically, the price (USD 44.15) is below the 20-day average (USD 45.37), the 50-day average (USD 47.78) and the 40-week average (USD 47.05, about equal to 200 days), which marks a downtrend that began after the mid-September peak of USD 51.45. The 14-day relative strength index is 40.1, below neutral without being oversold; the MACD line (-1.11) is just below its signal line (-1.08), so momentum is negative but no longer accelerating; and the 14-day average true range is USD 1.17, or 2.7% of the price. Support is near the 9 October low close of USD 41.65 and the July trough of about USD 42; resistance is the 50-day average near USD 47.8. Volume on 9 October was roughly four times the normal level, consistent with forced repositioning rather than gradual selling. These indicators describe market positioning and the direction of recent flows, not business value; a stock can be technically weak while fundamentally cheap, and the 26 October earnings release is the next information event.

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, USD BN, FISCAL YEARS ENDING 31 DECEMBER

Item	2021	2022	2023	2024	2025
Revenue	133.6	136.8	134.0	134.8	138.2
Cost of services and equipment	72.5	76.2	72.5	72.0	75.1
Gross profit	61.1	60.6	61.5	62.8	63.1
Selling, general and administrative	25.3	26.6	27.5	28.2	33.8
Operating income	32.0	30.5	28.8	30.6	29.3
Depreciation and amortization	16.2	17.1	17.6	17.9	18.3
EBITDA (reported)	49.1	49.0	40.1	47.5	47.7
Interest expense	3.5	3.6	5.5	6.7	6.7
Income before tax	29.4	28.3	17.0	23.0	22.7
Income tax	6.8	6.5	4.9	5.0	5.1
Net income attributable to Verizon	22.1	21.3	11.6	17.5	17.2

Source: Alpha Vantage annual income statements (company reported, US GAAP). Operating income in 2023 includes a goodwill impairment; EBITDA is as defined by the provider and differs slightly from the company's Adjusted EBITDA of USD 50.0bn (2025) and USD 48.8bn (2024). Research and development is not reported separately.

Revenue rose 2.5% in 2025 to USD 138.2bn with growth from Consumer wireless service (up 2.1%) and from equipment (up 11.1%, a lower-margin line), so the mix moved towards less profitable revenue; the gross margin fell from 46.6% to 45.6%. Selling, general and administrative expense increased 19.8% to USD 33.8bn, which includes the severance and restructuring charges of the fourth quarter, and operating margin fell to 21.2%. This is negative operating leverage in 2025, yet the first half of 2026 shows the opposite: second-quarter adjusted EBITDA rose 7.2% on revenue down 0.7%, with margin reaching 40.1% against 37.1%.

The reported figures overstate the improvement in 2026 earnings quality for two reasons: the second quarter of 2026 contained USD 1.8bn of special items (a USD 746m loss on disposal of a business, USD 397m severance, USD 258m of asset rationalization and USD 135m of acquisition and integration costs), and adjusted EPS (USD 1.30, up 6.6%) excludes them. Reported EPS fell 22.0% to USD 0.92 and net income fell 22.9%. Management's adjusted metrics are reconciled in the 2Q26 release; we treat adjusted EBITDA as useful for trend but note that recurring "special" costs have appeared every year.

Growth in 2025 was price and mix with an acquisition contribution beginning only in 2026 (Frontier closed 20 January 2026). Interest expense almost doubled between 2022 and 2024 (USD 3.6bn to USD 6.7bn) because of debt raised for spectrum and fiber, which is why net income fell while operating income was nearly stable.

C2. Balance Sheet

BALANCE SHEET SUMMARY, USD BN

Item	31 Dec 2024	31 Dec 2025	30 Jun 2026
Cash and cash equivalents	4.2	19.0	1.8
Receivables (net)	26.1	28.3	26.5
Inventory	2.2	2.4	2.0
Total current assets	40.5	56.9	37.6
Property, plant and equipment (net)	133.0	133.0	n/a
Goodwill	22.8	22.8	30.7
Wireless licenses and intangibles	167.7	n/a	170.5
Total assets	384.7	404.3	410.2
Total current liabilities	64.8	62.4	62.2
Debt maturing within one year	22.6	18.6	21.8
Long-term debt	121.4	139.5	143.4
Total liabilities	284.1	298.5	305.0
Shareholders' equity	99.2	104.5	103.9
Total debt (company basis)	n/a	158.2	165.2

Source: Alpha Vantage balance sheets; Verizon 2Q26 release for total debt. n/a means not retrieved or classified differently in the data provider's series (the 2025 intangible line is reported differently from other periods). Net property, plant and equipment is not provided for 30 June 2026.

The company ended June 2026 with USD 1.8bn of cash, having held USD 19.0bn at the end of 2025 ahead of the Frontier closing. Net debt is USD 163.5bn, 3.2 times trailing adjusted EBITDA, and net unsecured debt of USD 128.7bn is 2.5 times, the company's preferred measure; unsecured debt has been reduced from USD 142.5bn to USD 136.5bn in the second quarter. Liquidity is thin on a ratio basis: the current ratio is 0.60 (USD 37.6bn of current assets against USD 62.2bn of current liabilities), the quick ratio 0.57 and working capital is negative USD 24.6bn, but this is normal for a carrier that bills in advance, with USD 12.0bn of unused revolving credit as backstop (31 December 2025). The equity ratio is 25.3% of assets.

Points to watch are goodwill (USD 30.7bn, 7.5% of assets, up USD 7.8bn on Frontier), the debt maturing within a year (USD 21.8bn, covered by cash flow of about USD 37bn a year), and pension and other post-retirement obligations (about 179,400 retirees eligible for benefits), the size of which was not retrieved. Lease obligations of about USD 23.2bn (data provider) are

outside the company's debt measure but included in the provider's. There is no sign of accelerating receivables or inventory build.

C3. Cash Flow Statement

CASH FLOW SUMMARY, USD BN

Item	2021	2022	2023	2024	2025
Operating cash flow	39.5	37.1	37.5	36.9	37.1
Capital expenditure	20.3	26.7	18.8	18.0	17.5
Free cash flow	19.3	10.4	18.7	18.9	19.7
Dividends paid	10.4	10.8	11.0	11.2	11.5
Cash flow from investing	-67.2	-28.7	-23.4	-18.7	-16.7
Cash flow from financing	8.3	-8.5	-14.7	-17.1	-5.6
Free cash flow / dividends	1.8x	1.0x	1.7x	1.7x	1.7x

Source: Alpha Vantage annual cash flow statements; free cash flow and coverage calculated. Investing cash flow in 2021 includes large wireless license purchases.

Operating cash flow has been remarkably stable at USD 37bn (2022 to 2025), and free cash flow on a statement basis was USD 19.7bn in 2025, growth of 4.0% on 2024. FCF exceeded net income by 1.1 times in 2025 (USD 19.7bn against USD 17.6bn consolidated) because depreciation and amortization of USD 18.3bn is non-cash while capital expenditure is lower than that amount: net income and cash generation differ by about the gap between D&A and capex plus working capital. In 2023, the opposite was true: net income of USD 11.6bn was cut by the impairment, while cash flow was unaffected.

In the first half of 2026 operating cash flow was USD 18.4bn (up 9.9%) and company-defined free cash flow USD 10.2bn (up 16.0%); capital returned to shareholders was USD 9.4bn, of which buybacks USD 3.5bn. Management guides 2026 free cash flow growth of 9% to 10%, with operating cash flow growth of 2% to 4% and capital expenditure of USD 16.0bn to 16.5bn. Financing in 2025 was a net outflow of only USD 5.6bn because the company pre-funded Frontier (cash rose to USD 19.0bn), which reversed in 2026.

C4. Forecasting and Projections

The forecast below is the analyst's own estimate, not company guidance, anchored to 2026 guidance (mobility and broadband service revenue growth of 2.5% to 3.0%, capital expenditure of USD 16.0bn to 16.5bn, free cash flow growth of 9% to 10%).

BASE CASE PROJECTION, USD BN

USD bn	2026E	2027E	2028E	2029E	2030E
Revenue	139.6	141.0	143.1	145.2	147.4
Adjusted EBITDA	53.7	54.0	54.4	55.2	56.0
Depreciation and amortization	18.8	19.0	19.3	19.6	19.9
EBIT	34.9	35.0	35.1	35.6	36.1
Cash taxes on EBIT (22.5%)	7.9	7.9	7.9	8.0	8.1
Capital expenditure	16.3	16.5	16.7	17.0	17.2
Working capital investment	0.3	0.3	0.3	0.3	0.3
Cash restructuring and integration	2.0	1.0	0.5	0.5	0.5
Unlevered free cash flow	27.3	28.3	29.0	29.4	29.8
Revenue growth, %	1.0	1.0	1.5	1.5	1.5
Adjusted EBITDA margin, %	38.5	38.3	38.0	38.0	38.0

Source: analyst estimates built on Verizon fiscal 2025 reported results and 2026 guidance. Estimates, not forecasts by the company.

Revenue growth of 1.0% to 1.5% a year reflects broadband growth and Frontier, offset by declining equipment revenue and flat wireless service revenue. Adjusted EBITDA margin is assumed at 38.5% in 2026 (against 36.2% in 2025 and 40.1% in the second quarter of 2026, a seasonally strong quarter) and eroding to 38.0% as competition limits the pass-through of savings. Depreciation is held at 13.5% of revenue; capital expenditure at 11.7% of revenue, split between maintenance (network upkeep, roughly 70% of the total in our judgement) and growth (fiber and fixed wireless); working capital absorbs 0.2% of revenue; and restructuring cash costs fall from USD 2.0bn to USD 0.5bn. Market share is assumed constant.

SCENARIO ANALYSIS

Case	Revenue CAGR 2025-30	2030E margin	2030E FCF, USD bn	USD per share
Bear	-0.1%	35.0%	24.6	47.0
Base	1.3%	38.0%	29.8	63.7
Bull	2.2%	40.0%	33.6	76.1

Source: analyst estimates. Values per share from the discounted cash flow model at a 7.5% discount rate and 1.0% terminal growth. Bear case: flat revenue and margin falling to 35.0%. Bull case: revenue growth of 2.0% to 2.5% and margin rising to 40.0%.

SENSITIVITY OF VALUE PER SHARE, USD, TO 2030 MARGIN AND REVENUE GROWTH

2030E margin	Growth -0.5%	Growth 0.5%	Growth 1.5%	Growth 2.5%
34%	42.1	45.8	49.7	53.7
36%	48.9	53.0	57.2	61.6
38%	55.8	60.2	64.8	69.5
40%	62.7	67.4	72.3	77.4

Source: analyst estimates. Discount rate 7.5%, terminal growth 1.0%; growth rate applied to each year 2026 to 2030, margin applied to 2028 to 2030.

C5. Discounted Cash Flow (DCF) Model

The model values unlevered free cash flow from the second half of 2026 to 2030 plus a terminal value at 30 June 2026 balance sheet date. The assumptions are: revenue as in section C4; EBITDA margin 38.5% falling to 38.0%; cash tax rate of 22.5% on EBIT (the 2025 effective rate was 22.3%); capital expenditure at 11.7% of revenue; working capital investment at 0.2% of revenue; depreciation and amortization at 13.5% of revenue; discount rate (WACC) of 7.5%; terminal growth 1.0%; terminal year capital expenditure normalized at 97% of depreciation, giving a terminal free cash flow of USD 28.3bn; net debt of USD 163.5bn; and 4.155 billion shares.

The WACC is built from a 10-year Treasury yield of 5.09% (16 October 2026), an equity risk premium of 4.5% (analyst assumption), a beta of 0.7 (the regression beta of 0.25 is statistically weak, so a blend toward 1.0 is used), giving a cost of equity of about 8.2%, and a pre-tax cost of debt of about 5.8% (4.5% after tax) with 55% equity and 45% debt weights. The base case produces a present value of free cash flow of USD 110.9bn, a present value of terminal value of USD 317.5bn (74% of enterprise value), an enterprise value of USD 428.4bn, equity value of USD 264.9bn and a value of USD 63.7 per share. The model does not deduct unfunded pension or noncontrolling interests, which were not retrieved.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	0.0%	0.5%	1.0%	1.5%	2.0%
6.5%	66.8	73.8	82.1	92.0	104.1
7.0%	59.3	65.3	72.1	80.3	90.1
7.5%	52.9	57.9	63.7	70.5	78.5
8.0%	47.3	51.6	56.6	62.3	68.9
8.5%	42.3	46.1	50.3	55.2	60.8
9.0%	37.9	41.2	44.9	49.1	53.9

Source: analyst estimates; base case cash flows.

A reasonable valuation range is USD 46 to 70 per share (WACC 7.5% to 8.5%, terminal growth 0.5% to 1.5%). The current price of USD 44.15 sits at the bottom of that range and equals the output at a discount rate of about 9.1% with 1.0% growth. The dependence on the terminal value (74%) and on the assumption that the 2026 margin is sustained makes the range indicative, not a point estimate of intrinsic value. If the EBITDA margin falls to 34% the value at 7.5% WACC is USD 42 to 54 per share depending on revenue growth.

C6. Leveraged Buyout (LBO) Model

Not applicable. An enterprise value of about USD 347bn to USD 375bn is far beyond any financial sponsor's capacity, and the existing debt of USD 165bn already equals 3.2 times EBITDA, leaving no room for acquisition leverage.

D. Investment Thesis

Bull Case

Wireless service revenue returns to 2% growth as convergence lowers churn and Frontier fiber lifts broadband share; cost savings are retained so that adjusted EBITDA margin reaches 40% (it was 40.1% in the second quarter of 2026); satellite entry proves a niche rather than a price-setter; buybacks of USD 4.5bn a year reduce the share count by about 2.5% annually. In the model this produces free cash flow of USD 33.6bn by 2030 and a value near USD 76 per share at a 7.5% discount rate, with the multiple re-rating towards that of AT&T or T-Mobile US.

Bear Case

Revenue is flat, price competition and promotions from cable and satellite entrants compress the EBITDA margin to 35%, churn rises above 1.0% as service suffers after the job cuts, and rising refinancing costs consume free cash flow. Dividend growth stops. The model gives free cash flow of USD 24.6bn by 2030 and about USD 47 per share at 7.5%, and about USD 29 to 37 at discount rates of 8.0% to 8.5% with growth of 0% to 0.5%, which is the realistic downside if the market continues to demand a higher risk premium.

Base Case

Revenue grows 1.0% to 1.5% a year, margin settles near 38%, capital expenditure remains near 11.7% of revenue, and free cash flow supports the dividend (rising modestly) and the buyback while net debt to EBITDA declines slowly towards 3.0 times. The base case value is USD 63.7 at a 7.5% discount rate; at a 9.0% rate, which is close to what the market currently implies, the same cash flows give USD 44.9.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third quarter 2026 results	26 October 2026, 8:30 a.m. Eastern	First print after the SpaceX news; shows net adds, churn and whether 2026 guidance is maintained
FCC review of SpaceX and Grain transaction	Not scheduled	Determines whether satellite mobile becomes a credible rival
AT&T results	21 October 2026	Read-through on pricing and net adds before Verizon reports
Dividend declaration	December 2026 (historical pattern)	Twenty-first consecutive increase would confirm cash flow strength
Buyback execution	Through 2026	Up to USD 4.5bn guided; supports earnings per share
Frontier integration milestones	2026 and 2027	Fiber conversion and cost synergies
Interest rates	Ongoing	A lower 10-year yield lowers refinancing cost and discount rates

Source: Verizon investor relations (earnings date); StockAnalysis.com (AT&T earnings date); Verizon dividend release of 4 June 2026. Dividend timing is based on the historical pattern, not an announcement.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Postpaid phone churn	Measures retention after service changes	Below 0.95%	Above 1.00%
Postpaid phone net adds	Share trend against AT&T and T-Mobile US	Above 250,000 a quarter	Below 100,000
Wireless service revenue	Core pricing power	Growth above 1%	Decline
Free cash flow	Funds dividend and buyback	Above USD 21bn trailing	Below USD 18bn
Net unsecured debt / adj. EBITDA	Balance-sheet capacity	Below 2.4x	Above 2.7x
Broadband net adds	Convergence and fiber conversion	Above 400,000 a quarter	Below 250,000
Adjusted EBITDA margin	Durability of cost savings	Above 38%	Below 36%
Satellite spectrum and pricing news	Entry of a new competitor	Delay or denial of approval	Approval and commercial launch

Thresholds are analyst judgement relative to the second-quarter 2026 results.

E. Final Investment Framework

BUSINESS QUALITY	Good. Recurring revenue, scale and spectrum underpin about USD 37bn of operating cash flow, but the business grows below inflation.
FINANCIAL QUALITY	Good on cash, mixed on earnings. Free cash flow exceeds net income, while reported earnings are repeatedly reduced by special items and interest expense.
COMPETITIVE POSITION	Moderate moat. Largest postpaid phone base and strong enterprise franchise, but net adds trail AT&T and the market has just priced a new satellite entrant.
MANAGEMENT	New and untested. Quick execution on cost cuts and acquisitions, and a clear capital return plan of about USD 55bn through 2028; the customer-experience risk is open.
INDUSTRY	Mature and consolidating with disruptive tail risks; limited growth, high capital intensity.
VALUATION	Low multiples (forward P/E 8.8x, EV/EBITDA 6.7x, dividend yield 6.4%). Implied discount rate of 9.1% on base cash flows suggests the market is pricing a deterioration; a valuation range of USD 46 to 70 per share depends heavily on discount rate and margin.
TECHNICAL AND MARKET STRUCTURE	Downtrend: below the 20-day, 50-day and 40-week averages with RSI 40; post-shock stabilization between USD 41.65 and USD 45.
PRINCIPAL RISK	Structural price competition from satellite and cable entrants eroding wireless service revenue and the EBITDA margin.
PRINCIPAL CATALYST	Third quarter results on 26 October 2026, showing churn, net adds and the guidance outlook after the SpaceX announcement.
KEY VARIABLE	Wireless service revenue and the EBITDA margin that results from it; each point of long-run EBITDA margin is worth roughly USD 3 to 4 per share in the model.
THESIS INVALIDATION	The investment thesis would become materially weaker if postpaid phone churn exceeds 1.0% for two consecutive quarters, if wireless service revenue declines year on year, if trailing free cash flow falls below USD 18bn, or if net unsecured debt to adjusted EBITDA rises above 2.7 times.

F. Data Table

Category	Metric	Latest	Prior period	5Y trend (2021 to 2025)
Market	Market capitalization	USD 183.4bn	USD 171.3bn	Not retrieved
Market	Enterprise value (excl. leases)	USD 346.9bn	USD 310.4bn	Not retrieved
Market	Share price	USD 44.15	USD 40.48	USD 51.96 (2021)
Growth	Revenue growth	2.5% (FY25)	0.6% (FY24)	CAGR 0.9%
Profitability	Gross margin	45.6%	46.6%	45.7% (2021)
Profitability	Operating margin	21.2%	22.7%	23.9% (2021)
Profitability	Net margin	12.4%	13.0%	16.5% (2021)
Profitability	ROE	16.4%	17.6%	Not retrieved
Profitability	ROIC	9.3%	Not retrieved	Provider TTM 8.3%
Cash flow	Operating cash flow	USD 37.1bn	USD 36.9bn	USD 39.5bn (2021)
Cash flow	Free cash flow	USD 19.7bn	USD 18.9bn	USD 19.3bn (2021)
Leverage	Net debt / EBITDA	3.2x (Jun 26)	2.8x (Dec 25)	Not retrieved
Valuation	P/E (trailing)	11.3x	9.9x (Dec 25)	7.8x to 13.6x
Valuation	EV/EBITDA	6.7x	6.2x (Dec 25)	Not retrieved
Valuation	P/FCF	9.1x	8.7x (Dec 25)	Not retrieved
Market	Beta (5 years, weekly)	0.25	3-year 0.13	Not applicable

Category	Metric	Latest	Prior period	5Y trend (2021 to 2025)
Market	Volatility (annualized)	27.2% (1Y)	23.5% (3Y)	23.7% (5Y)
Market	Maximum drawdown	-16.3% (1Y)	-37.7% (5Y)	-53.8% (since 1999)

Source: Alpha Vantage; Verizon 2Q26 release; StockAnalysis.com; calculations. Market data to 19 October 2026; financial data is fiscal 2025 unless stated. Prior period market values use the last weekly close of 2025 (26 December) and year-end 2025 shares of 4.231bn; enterprise value uses net debt of USD 139.1bn at 31 December 2025. P/FCF on a cash flow statement basis.

G. Sources and Methodology

Data cross-check

Company-reported figures were compared across the Form 10-K, the second quarter 2026 release, the proxy statement and two data providers. Revenue (USD 138.2bn for 2025, USD 138.9bn trailing) agreed across all of them. Three differences were found. First, capital expenditure: the cash flow statement series shows USD 17.5bn for 2025 while the 10-K text gives USD 17.0bn, and the second-quarter 2026 statement series (USD 5.1bn) is higher than the company's USD 4.0bn; the company figure excludes some items, so we use the statement series for history and the company definition for trailing free cash flow, and disclose both. Second, debt: the data provider shows total debt of USD 193.7bn, which includes lease liabilities, whereas the company reports USD 165.2bn; we use the company figure for leverage and show the provider figure only in peer comparisons for consistency. Third, EBITDA: the provider's trailing USD 51.1bn is adjusted, the statement-series USD 47.7bn for 2025 is reported, and the company's Adjusted EBITDA is USD 50.0bn; we state which is used. Where figures differ, primary sources take priority.

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Federal Reserve Bank of St. Louis (FRED), Market yield on US Treasury securities at 10-year constant maturity. 16 October 2026. https://fred.stlouisfed.org/series/DGS10. Information obtained: Risk-free rate of 5.09%

Calculations

Calculated by the analyst: margins, growth rates, returns, volatility (weekly returns annualized by the square root of 52), beta and correlation (weekly total returns against SPY), drawdowns (weekly adjusted closes), moving averages, RSI (14-day, Wilder method), MACD (12, 26, 9 exponential averages), average true range (14-day), ROE, ROIC, leverage and cash conversion ratios, enterprise value excluding leases, trailing P/E and historical year-end multiples, and the forecast, scenarios and discounted cash flow model. All forecasts are analyst estimates.

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